विष्णु तिमिल्सिना एण्ड एशोसियट्स
दर्तावाल लेखापरीक्षक "ग"
भक्तपुर नगरपालिका-१०, कमलविनायक
च.न.:

Bishnu Timilsina & Associates
Registered Auditor "C"
Bhaktapur Municipality-10, Kamalbinayak
PAN: 302985278

INDEPENDENT AUDITOR'S REPORT

To the Shareholder of
Simulcast Technologies Pvt. Ltd.
Sankhamul, Kathmandu

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **Simulcast Technologies Pvt. Ltd., Sankhamul, Kathmandu, Nepal**, which comprise Balance Sheet as at Ashad 31st, 2081, and the income statement, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the entity as at Ashad 31st, 2081, of its financial performance and its cash flows for the year then ended in accordance with Nepal Accounting Standards (NAS), Generally Accepted Accounting Principles (GAAP) and other applicable laws.

Basis for Opinion

We conducted our audit in accordance with Nepal Standards on Auditing (NSA). Our responsibilities are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the entity in accordance with The Institute of the Chartered Accountants of Nepal's code of ethics for professional accountants (ICAN's Code) together with the ethical requirements that are relevant to our audit of financial statement in Nepal, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAN Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Nepal Accounting Standards (NAS) and Generally Accepted Accounting Principles (GAAP) for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the entity's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the entity or to cease operations or has no realistic alternative to do so.

Those charged with governance are responsible for overseeing the entity's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with NSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with NSA, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risk of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from frauds is higher than one resulting from error, as fraud may involve collusion forgery, intentional omission, misrepresentations, or the override of internal control.
- Obtain and understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control.

- Evaluate appropriateness of accounting policy used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the entity to cease to continue as a going concern.

We communicate with those charged with governance regarding, among the other matters, the planned scope and timing of the audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

Based on our audit, we report that:

- We have obtained information and explanations asked for, which, to the best of our knowledge and belief, were necessary for the purpose of our audit.
- In our opinion, proper books of accounts as required by law have been maintained by the entity so far as it appears from our examination of such books of accounts:
- In our opinion of Balance Sheet and the Income Statement, Cash flow dealt with by this report agree with the books of accounts.
- To the best of our information and according to explanation given to us and so far, appeared from our examination of the books of account of the entity, we have not come across cases where shareholder or any representative or any employee of the entity have acted contrary to the provision of law relating to the accounts or committed any misappropriation or caused loss or damage to the entity.
- There were no instances identified where the accounting fraud was committed.

.....
RA Bishnu Prasad Timilsina
Proprietor
COP No : 1106 "C"

Date: 2080/09/14
Place : Bhaktapur, Nepal

UDIN: 250102RA605478RMCb

Simulcast Technologies Pvt. Ltd.

Sankhamul, Kathmandu

Balance Sheet

As at 31st Asadh 2081 (July 15, 2024)

Figures in NPR

Assets	Notes	FY 2080/81	FY 2079/80
Non Current Assets			
Property, Plant and Equipment	1	19,040.48	25,387.31
Current Assets			
Cash and Cash Equivalents	2	14,015.57	1,602,565.99
Inventories		7,690,460.22	5,307,547.22
Trade and Other Receivables	3	5,228,658.10	2,660,413.59
Total Current Assets		**12,933,133.89**	**9,570,526.80**
Total Assets		**12,952,174.37**	**9,595,914.11**
Equity			
Share Capital	4	1,500,000.00	1,500,000.00
Retained Earnings	5	77,780.41	14,512.06
Total Equity		**1,577,780.41**	**1,514,512.06**
Long Term Borrowings	6	-	-
Current Liabilities			
Trade and Other Payables	7	11,351,623.15	8,061,516.36
Short Term Borrowings	8	-	-
Income Tax Payable	9	22,770.82	19,885.69
Total Current Liabilities		**11,374,393.97**	**8,081,402.05**
Total Equity and Liabilities		**12,952,174.37**	**9,595,914.11**
Significant Accounting Policies and Notes to Accounts	18		

Schedules 1 to 9 & 18 are integral part of Balance Sheet.

As per even date of our report attached

Kalyan Kumar Karn
Single Shareholder

Bishnu Prasad Timilsina
Auditor

Simulcast Technologies Pvt. Ltd.

Sankhamul, Kathmandu

Income Statement

For the year ended on 31st Asadh 2081 (July 15, 2024)

Figures in NPR

Particulars	Notes	FY 2080/81	FY 2079/80
Revenue from Operation	10	4,242,173.10	1,505,258.35
Cost of Sales	11	3,469,693.01	940,784.91
Gross Profit		**772,480.09**	**564,473.44**
Other Income	12	-	-
Total Operating Income		**772,480.09**	**564,473.44**
Administrative Expenses	13	675,050.00	506,600.00
Depreciation Expenses	1	6,346.83	8,462.44
Selling & Distribution Expenses	14	-	-
Total Operating Profit before Interest & Tax		**91,083.26**	**49,411.00**
Finance cost	15	-	-
Total Operating Profit		**91,083.26**	**49,411.00**
Non Operating Income	16	-	-
Non Operating Expenses	17	-	-
Profit Before Bonus and Tax		**91,083.26**	**49,411.00**
Provision for Employee Bonus		-	-
Profit Before Tax		**91,083.26**	**49,411.00**
Income Tax Expenses		**27,814.92**	**22,885.69**
Prior Period Tax Expenses		5,044.10	3,000.00
Current Tax Expenses		22,770.82	19,885.69
Deffered Tax Expenses		-	-
Profit and Loss for the year		**63,268.35**	**26,525.31**
Significant Accounting Policies and Notes to Accounts	18		

Schedules 1 and 10 to 18 are integral part of Income Statement.

As per even date of our report attached

Kalyan Kumar Karn
Single Shareholder

Bishnu Prasad Timilsina
Auditor

Simulcast Technologies Pvt. Ltd.

Sankhamul, Kathmandu

Cash Flow Statement

For the year ended on 31st Asadh 2081 (July 15, 2024)

Figures in NPR

	FY 2080/81	FY 2079/80
Cash Flows from Operating Activities		
Profit and Loss for the year	63,268.35	26,525.31
Add:		
Previous Year adjustment		
Depreciation	6,346.83	8,462.44
Provision for tax	22,770.82	19,885.69
Less: Tax Paid	(19,885.69)	-
Cash flows for operating activities before changes in working capital	**72,500.30**	**54,873.44**
(Increase)/Decrease in Current Assets	(4,951,157.51)	(6,588,160.81)
Increase/(Decrease) in Current Liabilities	3,290,106.79	7,941,728.36
Total Cash Flows for Operating Activities	**(1,588,550.42)**	**1,408,440.99**
Cash Flows from Investing Activities		
(Increase)/Decrease in Fixed Assets	-	-
(Increase)/Decrease in Investments	-	-
Total Cash Flows for Investing Activities	**-**	**-**
Cash Flows from Financing Activities		
Increase/(Decrease) in Capital	-	-
Increase/(Decrease) in Loan	-	-
Dividend	-	-
Total Cash Flows for Financing Activities	**-**	**-**
Net Cash Flows	**(1,588,550.42)**	**1,408,440.99**
Opening Cash and Bank balance	**1,602,565.99**	**194,125.00**
Closing Cash and Bank balance	**14,015.57**	**1,602,565.99**

Kalyan Karn
Single Shareholder

Bishnu Prasad Timilsina
Auditor

Simulcast Technologies Pvt. Ltd.

Sankhamul, Kathmandu

Statement of Changes in Equity

For the year ended on 31st Asadh 2081 (July 15, 2024)

Particulars	Share Capital	Retained Earnings	Other Reserve	Total
Balance as on 1st Shrawan 2080 (July 17, 2023)	1,500,000.00	14,512.06	-	1,514,512.06
Change in Accounting Policies	-	-	-	-
Restated Balance as on 1st Shrawan 2080 (July 17, 2023)	**1,500,000.00**	**14,512.06**	**-**	**1,514,512.06**
Increase in Capital during the year	-	-	-	-
Profit for the year	-	63,268.35	-	63,268.35
Dividend	-	-	-	-
Balance as on 31st Asadh 2081 (July 15, 2024)	**1,500,000.00**	**77,780.41**	**-**	**1,577,780.41**

Kalyan Kumar Kam
Single Shareholder

Bishnu Prasad Timilsina
Auditor

Simulcast Technologies Pvt. Ltd.

Sankhamul, Kathmandu

Schedules

For the year ended on 31st Asadh 2081 (July 15, 2024)

Cash and Cash Equivalents — **Notes- #2**

	FY 2080/81	FY 2079/80
Cash In Hand	9,475.06	77,584.48
Bank Balances		
NIC Asia Bank Ltd.	1,750.00	1,750.00
Siddhartha Bank Ltd. #02017249683	2,790.51	1,523,231.51
Total	**14,015.57**	**1,602,565.99**

Trade and Other Receivables — **Notes- #3**

	FY 2080/81	FY 2079/80
Sundry Debtors and Advances (Annex-#1)	4,321,518.02	1,952,550.00
Advance Tax	18,810.21	28,890.00
VAT Receivable	888,329.87	678,973.59
Total	**5,228,658.10**	**2,660,413.59**

Share Capital — **Notes- #4**

	FY 2080/81	FY 2079/80
Authorized Capital		
(25000 Shares @ 100 each)	2,500,000.00	2,500,000.00
Issued & Subsrcibed Capital		
(15000 Shares @ 100 each)	1,500,000.00	1,500,000.00
Paid up Capital		
(15000 Shares @ 100 each)	1,500,000.00	1,500,000.00
Total	**1,500,000.00**	**1,500,000.00**

Retained Earnings — **Notes- #5**

	FY 2080/81	FY 2079/80
Upto Previous Year	14,512.06	(12,013.25)
Profit and Loss a/c this year	63,268.35	26,525.31
Less: Dividend	-	-
Total	**77,780.41**	**14,512.06**

Long Term Borrowings — **Notes- #6**

	FY 2080/81	FY 2079/80
	-	-
Total	-	-





Simulcast Technologies Pvt. Ltd.

Sankhamul, Kathmandu

Schedules

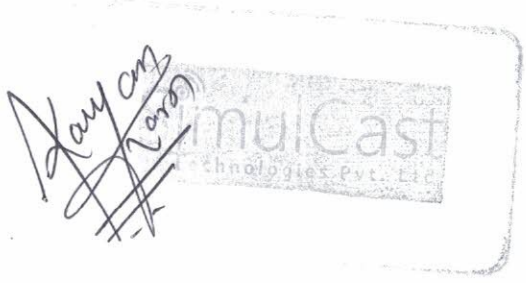
For the year ended on 31st Asadh 2081 (July 15, 2024)

Trade and Other Payables		**Notes- #7**
	FY 2080/81	**FY 2079/80**
Sundry Creditors and Payables (Annex-#2)	11,329,623.15	8,040,866.36
Audit Fee Payable	8,500.00	8,500.00
Tax & TDS Payables		
TDS on House Rent	6,000.00	6,000.00
SST on Salary	6,000.00	3,900.00
TDS on Audit Fee	1,500.00	1,500.00
TDS on Service	-	750.00
Vat Payable	-	-
Total	**11,351,623.15**	**8,061,516.36**

Short Term Borrowings		**Notes- #8**
	FY 2080/81	**FY 2079/80**
	-	-
Total	-	-

Income Tax Payable		**Notes- #9**
	FY 2080/81	**FY 2079/80**
Opening Balance	19,885.69	-
Less: Paid During The Year	(19,885.69)	-
Add: Provision for Current Year	22,770.82	19,885.69
Total	**22,770.82**	**19,885.69**

Revenue from Operation		**Notes- #10**
	FY 2080/81	**FY 2079/80**
Taxable Sales	4,192,173.10	1,361,497.35
Service Sales	50,000.00	143,761.00
Total	**4,242,173.10**	**1,505,258.35**





Simulcast Technologies Pvt. Ltd.

Sankhamul, Kathmandu

Schedules

For the year ended on 31st Asadh 2081 (July 15, 2024)

Cost of Sales		**Notes- #11**
	FY 2080/81	**FY 2079/80**
Opening Stock	5,307,547.22	21,800.00
Add: Purchase	**5,852,606.01**	**6,176,532.13**
Local Purchase		
Taxable Purchase	5,852,606.01	6,176,532.13
Add: Direct Expenses	**-**	**50,000.00**
Installation & Other Service Charges	-	50,000.00
Employee Cost (Direct Cost) (Annex-#3)	-	-
Less: Closing Stock	(7,690,460.22)	(5,307,547.22)
Total	3,469,693.01	940,784.91

Other Income		**Notes- #12**
	FY 2080/81	**FY 2079/80**
	-	-
Total	-	-

Administrative Expenses		**Notes- #13**
	FY 2080/81	**FY 2079/80**
Admin Employee Cost (Annex-#4)	600,000.00	390,000.00
Audit Fee	10,000.00	10,000.00
Rent Expenses	60,000.00	60,000.00
Office Expenses	3,140.00	2,685.00
Bank Charges	1,035.00	1,020.00
Miscellaneous Expenses	875.00	750.00
Fine & Penalties	-	42,145.00
Total	**675,050.00**	**506,600.00**

Selling & Distribution Expenses		**Notes- #14**
	FY 2080/81	**FY 2079/80**
	-	-
Total	-	-





Simulcast Technologies Pvt. Ltd.

Sankhamul, Kathmandu

Schedules

For the year ended on 31st Asadh 2081 (July 15, 2024)

Finance Costs

	Notes- #15	
	FY 2080/81	FY 2079/80
Total	-	-

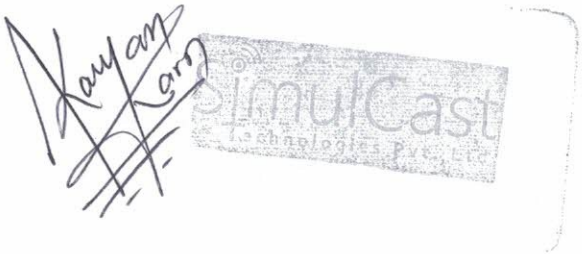
Non Operating Income

	Notes- #16	
	FY 2080/81	FY 2079/80
	-	-
Total	-	-

Non Operating Expenses

	Notes- #17	
	FY 2080/81	FY 2079/80
	-	-
Total	-	-





Simulcast Technologies Pvt. Ltd.

Sankhamul, Kathmandu

Vat Reconciliation Statement

For the year ended on 31st Asadh 2081 (July 15, 2024)

	Sales				Purchase							
Trimesters	Taxable Sales	VAT	Exempt Sales	Other Adjustment	Taxable Purchase	VAT	Vat Free Purchase	Import Purchase	VAT	Other Adjustment	Net VAT	Balance
Opening Balance												(678,973.00)
Trimester 1	648,500.00	84,295.00	-	-	177,177.00	23,033.00	-	-	-	-	61,262.00	(617,711.00)
Trimester 2	799,735.00	103,965.00	-	-	978,344.00	127,185.00	-	-	-	-	(23,220.00)	(640,931.00)
Trimester 3	2,793,938.00	363,212.00	-	-	4,697,085.00	610,621.00	-	-	-	-	(247,409.00)	(888,340.00)
	4,242,173.00	**551,472.00**	**-**	**-**	**5,852,606.00**	**760,839.00**	**-**	**-**	**-**	**-**		

Simulcast Technologies Pvt. Ltd.

Sankhamul, Kathmandu

As at 31st Asadh 2081 (July 15, 2024)

Vat Reconciliation

Particulars	Amount(Rs.)
Vat Payable/(Receivable) as per VAT Return	**(888,340.00)**
Rounding error	10.13
Vat Payable/(Receivable) as per Financial	**(888,329.87)**

Sales Reconciliation

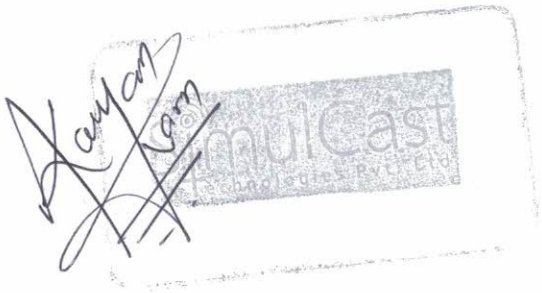
Particulars	Taxable Sales (Rs)	Nontaxable Sales (Rs)
Sales as per VAT Return	**4,242,173.00**	-
Rounding error	0.10	-
Sales as per Financial	**4,242,173.10**	-

Vat Reconciliation of Purchase,Fixed Assets & Expenses

Particulars	Taxable Purchase (Rs)	Non Taxable Purchase (Rs)
Purchase as per VAT Return	**5,852,606.00**	-
Rounding error	0.01	-
Purchase as per Financial	**5,852,606.01**	-

Import Purchase

Particulars	Amount (Rs)
Import Purchase as per VAT Return	-
Rounding error	-
Import Purchase as per Financial	-





Simulcast Technologies Pvt. Ltd.

Sankhamul, Kathmandu

Schedules

For the year ended on 31st Asadh 2081 (July 15, 2024)

Property, Plant and Equipment

Notes- #1

Assets	Dep. Rate %	Opening WDV	Addition During the year	Less : Disposal	Gain/(Loss) on Dispoal	Depreciation	Opening WDV for next year
Land		-	-	-	-	-	-
Building	5%	-	-	-	-	-	-
Furniture & Fixture	25%	-	-	-	-	-	-
Office Equipment	25%	25,387.31	-	-	-	6,346.83	19,040.48
Other Assets	15%	-	-	-	-	-	-
Software		-	-	-	-	-	-
Grand Total		**25,387.31**	-	-	-	**6,346.83**	**19,040.48**

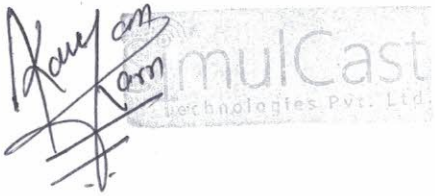
Simulcast Technologies Pvt. Ltd.

Sankhamul, Kathmandu

Salary Sheet

For the year ended on 31st Asadh 2081 (July 15, 2024)

Name	Couple Status	PAN	Designation	Total	SST	TDS
Kalyan Kumar Karna	Single	111901401	Manager	210,000.00	2,100.00	-
Diwakar Karna	Single	137206830	Accountant	390,000.00	3,900.00	-
Total				**600,000.00**	**6,000.00**	-





Simulcast Technologies Pvt. Ltd.

Sankhamul, Kathmandu

Significant Accounting Policies and Notes to Accounts

FY 2080/81 (2023/24)

Notes- #18

1. General Information

1.1 Background

Simulcast Technologies Pvt. Ltd. is an incorporated Company established under the provision of Companies Act 2063, having the registration no 229272/076/077. It has been registered in IRD having Pan no. 609670271. It has been established with the objective of purchasing & selling of equipment's related to Radio, Television, Digital Cable television, Broadcasting Software related to Wireless Digital Cables, etc.

1.2 Financial Period

The financial period of the Entity represents a twelve months' period from 1st Shrawan 2080 (17th July 2023) to 31st Asadh 2081 (15th July 2024).

2. Significant Accounting Policies

2.1 Statement of Compliance

The financial statements have been prepared in accordance with Nepal Accounting Standards (NAS), in compliance with Income Tax Act 2058 and other applicable laws. Financial statement comprises the statement of balance sheet, income statement, statement of changes in equity and notes to accounts.

2.2 Basis of Measurement

The financial statements have been prepared on the historical cost basis.

2.3 Comparative Figures

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period for all the amounts reported in financial statements, in order to enhance the understandability of the financial statements of the current period and to improve comparability. The comparative figure in income statement, statement of cash flow are presented for the year ended 31st Asadh 2081 (15th July 2024).

2.4 Functional and Presentation Currency

The financial statements are prepared in Nepalese Rupees, which is the Entity's functional currency. Figures in the financial statement are taken up to two digits of decimal.

2.5 Property, Plant and Equipment

Items of property, plant and equipment are initially recognized at cost. Cost includes purchase price and other directly attributable costs. After recognition, an item of property, plant and equipment are carried at its cost less any accumulated depreciation.

No any Property, plant and equipment has been purchased during the year and closing WDV as on 31st Asadh 2081 is Rs. 19,040.48

2.6 Depreciation

Land is not depreciated. Depreciation is provided on all other items of property, plant and equipment so as to write-off their carrying value over the expected useful economic lives.

Entity has taken policy of charging depreciation on written down value method as prescribed by Income Tax Act, 2058. The Entity has made provision for depreciation of Rs.6,346.83 during the year.

SimulCast Technologies Pvt. Ltd.

विश्व तिलिस्मना एण्ड इलोक्ट्रिकल्स सदस्यता नं. ५७७ प्रमाण पत्र नं. १११०६ 'ब' म.न.पा.-१०, कमलविनायक, भक्तपुर

S.N.	Blocks of Assets	Rate of Depreciation	Depreciation Amount in Rs.
1	A (Building)	5%	-
2	B (Office Equipment)	25%	6,346.83
3	C (Vehicle)	20%	-
4	D (Machinery)	15%	-
	Total		**6,346.83**

2.7 Trade and other Receivables

Trade and other receivables are stated at their cost.

2.8 Cash and cash equivalents

Cash and cash equivalents comprise cash balances and bank deposits.

2.9 Share Capital

The Entity's equity shares registered on Office of Company Registrar are classified as Share capital. Entity's share capital has not been changed during the year and closing balance of Share Capital as on Asadh end, 2081 is Rs 1,500,000.00

2.10 Trade and other payables

Trade and other payables are stated at their cost.

2.11 Revenue

Revenue has been recognized only when the amount of revenue is measured reliably, probable that the economic benefits associated with transaction is flowed to the entity and cost incurred in respect of transaction can be measured reliably. Sales revenue of the entity for current period is Rs. 4,242,173.10.

2.12 Closing Stock

Closing stock has been valued at cost price or net realizable value whichever is lower. Entity has closing stock of Rs. 7,690,460.22 for the year as per weighted average method.

2.13 Repair and Maintenance

Entity has taken policy of charging repair and maintenance compliance with the provision of Income Tax Act, 2058.

2.14 Bank Balance

The bank balance as per our ledger is Rs. 4,540.51. Statement of one bank account couldn't be obtained due to dormancy.

S.N.	Name of Banks	As Per our Ledger	As per Bank Certificate	Difference	Remarks
1	NIC Asia Bank Ltd.	1,750.00	NA	1,750.00	Not Obtained
2	Siddhartha Bank Ltd. #9683	2,790.51	2,790.51	-	
	Total	**4,540.51**	**2,790.51**	**1,750.00**	

2.15 Short Term Borrowings

The amount of loan and overdraft taken from the bank which are payable within 12 months are shown under the short-term borrowings. Entity has not taken any short-term borrowings during the year and closing balance of such borrowings as on Asadh end 2081 is Rs. Nil.

2.16 Long Term Borrowings

The amount of loan taken from the bank which are payable over period of more than 12 months are shown under the long-term borrowings. Entity has not taken any long-term borrowings during the year and closing balance of such borrowings as on Asadh end 2081 is Rs. Nil.

2.17 Bonus

Since the number of employees is less than 10 , the entity has not made any provision for staff bonus as per Bonus Act, 2030.

2.18 Income Tax

Income tax provision has been calculated in compliance with Income Tax Act, 2058. The Entity has made provision of Rs. 22,770.82 for current income tax.

2.19 Deferred Tax

Since there are no any taxable and deductible temporary differences, provision for deferred tax has not been made.